1. Is management rational?
2. Is management candid with shareholders?
3. Does management resist the institutional imperative?

The highest compliment Buffett can pay a manager is that he or she unfailingly behaves and thinks like an owner of the company. Managers who behave like owners tend not to lose sight of the company's prime objective—increasing shareholder value—and they tend to make rational decisions that further that goal. Buffett also greatly admires managers who take seriously their responsibility to report candidly and fully to shareholders and who have the courage to resist what he has termed the institutional imperative—blindly following industry peers.

Rationality

The most important management act is the allocation of the company's capital. It is the most important because allocation of capital, over time, determines shareholder value. Deciding what to do with the company's earnings—reinvest in the business or return money to shareholders—is, in Buffett's mind, an exercise in logic and rationality. "Rationality is the quality that Buffett thinks distinguishes the style with which he runs Berkshire—and the quality he often finds lacking in other corporations," wrote Carol Loomis of *Fortune* magazine.[13]

The question of where to allocate earnings is linked to where that company is in its life cycle. As a company moves through its economic life cycle, its growth rates, sales, earnings, and cash flows change dramatically. In the development stage, a company loses money as it develops products and establishes markets. During the next stage, rapid growth, the company is profitable but growing so fast that it cannot support the growth; often it must not only retain all of its earnings but also borrow money or issue equity to finance growth. In the third stage, maturity, the growth rate slows and the company begins to generate more cash than it needs for development and operating costs. In the last stage, decline, the company suffers declining sales and earnings but continues to generate excess cash. It is in phases three and four, but particularly phase three, that the question arises: How should those earnings be allocated?